

A Level Economics

H460/03 Themes in economics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

Section A

Write your answer to each question in the box provided.

1 According to the theory of rational expectations, anticipated expansionary monetary policy will:

- A Have no effect on real output, only on the price level
- B Permanently reduce unemployment below its natural rate
- C Raise both output and inflation in the long run
- D Reduce the natural rate of unemployment

Your answer [] [1]

2 In a closed economy with no government, the equilibrium level of national income is where:

- A $AD = AS$ at full employment
- B Consumption equals investment
- C Injections equal withdrawals ($S = I$)
- D The marginal propensity to consume equals 1

Your answer [] [1]

3 Which theory of the firm assumes that managers maximise their own utility, subject to a minimum profit constraint imposed by shareholders?

- A Baumol's revenue maximisation model
- B Cyert and March's behavioural theory
- C Williamson's managerial discretion model
- D Neoclassical profit maximisation

Your answer [] [1]

4 A negative production externality generates a marginal external cost (MEC) of £6 per unit. The marginal private cost (MPC) is £10 and marginal private benefit (MPB) equals price. If the market price is £14, the socially optimal Pigouvian tax per unit is:

- A £4
- B £6
- C £10
- D £14

Your answer [] [1]

5 A good has a cross-elasticity of demand of -1.8 with respect to a related good. Which of the following is most likely true about the two goods?

- A They are close complements and consumers tend to buy them together
- B They are close substitutes with highly elastic demand
- C They are independent goods with only a weak relationship
- D They are weak complements with inelastic demand

Your answer [] [1]

6 In game theory, a Nash equilibrium is a set of strategies where:

- A All firms maximise their joint profits
- B Each firm cooperates with the others
- C No firm can improve its outcome by unilaterally changing its strategy
- D Output is maximised across the industry

Your answer [] [1]

7 A firm operating on the declining section of its long-run average cost curve is said to be experiencing:

- A Constant returns to scale
- B Diminishing marginal returns
- C Diseconomies of scale
- D Economies of scale

Your answer [1]

8 Under contestable market theory, the credible threat of entry:

- A Forces incumbent firms to price at minimum AC earning normal profit
- B Has no effect on incumbent firms as they already maximise profit
- C Leads to incumbents charging monopoly prices to pre-empt rivals
- D Only matters in markets with many firms

Your answer [1]

9 Behavioural economics suggests that consumers often exhibit 'present bias'. This means that consumers:

- A Are systematically rational in their intertemporal choices
- B Place disproportionate weight on immediate rewards compared with future rewards
- C Use cognitive shortcuts only in unfamiliar situations
- D Value future benefits equally with immediate ones

Your answer [1]

10 A country's real exchange rate appreciates by 4%, while its nominal exchange rate appreciates by 6%. This implies that:

- A Domestic inflation was 2 percentage points higher than foreign inflation
- B Domestic inflation was 2 percentage points lower than foreign inflation
- C Domestic inflation was 10 percentage points higher than foreign inflation
- D The two economies had identical inflation rates

Your answer [1]

11 A natural monopoly operating at socially optimal output with price set at marginal cost will:

- A Earn normal profit
- B Earn supernormal profit
- C Make a loss requiring a subsidy
- D Produce at minimum average cost

Your answer [1]

12 Okun's law describes the empirical relationship between:

- A Changes in inflation and changes in the output gap
- B Changes in real wages and unemployment
- C Changes in unemployment and changes in real GDP
- D Nominal and real interest rates

Your answer [1]

13 A monopsonist in a labour market pays a wage equal to W_1 and employs Q_1 workers, where the marginal cost of labour (MCL) equals the marginal revenue product (MRP). Imposition of a legal minimum wage set between W_1 and the competitive equilibrium wage will:

- A Decrease both wages and employment
- B Decrease employment but increase wages
- C Have no effect on employment or wages
- D Increase both wages and employment

Your answer [1]

14 Given the quantity equation $MV = PY$, if the central bank targets a stable price level, and velocity of circulation is falling at 1% per year while real GDP grows at 2% per year, what growth rate of the money supply is required?

- A 1%
- B 2%
- C 3%
- D 5%

Your answer [1]

15 According to the Marshall-Lerner condition and the J-curve effect, following a currency depreciation:

- A The current account will always improve immediately
- B The current account may worsen in the short run before improving in the long run, if $PED_x + PED_m > 1$
- C The current account will worsen permanently if PEDs are price inelastic
- D There will be no effect on the current account if capital flows dominate

Your answer [1]

16 A windfall tax on supernormal profits in the oil industry is most likely to:

- A Be fully passed on to consumers through higher prices
- B Be progressive in terms of its incidence on shareholders and be difficult to pass on in the short run
- C Cause a significant decline in investment in the short run, reducing supply
- D Reduce government tax revenue overall

Your answer [1]

17 The Lorenz curve for a country shifts outward (away from the line of perfect equality). Which of the following Gini coefficient changes is consistent with this shift?

- A Gini falls from 0.40 to 0.30
- B Gini remains constant at 0.35
- C Gini rises from 0.25 to 0.45
- D Gini rises from 0.45 to 0.40

Your answer [1]

18 A per-unit subsidy is introduced in a market where the supply curve is price-elastic and the demand curve is price-inelastic. The incidence of the subsidy will fall:

- A Equally on consumers and producers
- B Entirely on consumers
- C Entirely on producers
- D Mainly on consumers

Your answer [1]

19 The hysteresis effect in labour markets suggests that:

- A A high cyclical unemployment rate may permanently raise the natural rate of unemployment
- B Cyclical unemployment disappears automatically once demand recovers
- C Real wage rigidity is the main cause of unemployment
- D Structural unemployment declines during recessions

Your answer [1]

20 A government introduces a scheme in which drivers who buy 'black box' telematics devices receive lower car insurance premiums. This is most likely an attempt to address:

- A Adverse selection in the insurance market
- B Diminishing returns in insurance production
- C Monopoly power of insurers
- D Public good characteristics of insurance

Your answer [1]

21 Dynamic efficiency is most associated with:

- A Minimising average total costs in the short run
- B Producing where $MC = AR$
- C Reallocating resources to address externalities
- D Reinvestment of supernormal profits into innovation and product development

Your answer [1]

22 Under third-degree price discrimination across two markets, profit is maximised where:

- A $MR_1 = MR_2 = MC$
- B MR is maximised in each market separately
- C Price is equalised in each market
- D Total revenue is maximised in each market

Your answer [1]

23 The Heckscher-Ohlin model of international trade predicts that countries will:

- A Always export high-technology goods
- B Export goods that use their relatively abundant factor of production intensively
- C Import goods they can produce at absolute advantage
- D Trade only with countries at similar stages of development

Your answer [1]

24 Quantitative easing (QE) primarily operates through which transmission mechanism?

- A Direct reductions in the official bank rate
- B Lowering long-term interest rates and raising asset prices, stimulating wealth effects and investment
- C Printing physical currency to spend into the economy
- D Targeted wage subsidies to households

Your answer [1]

25 Time inconsistency problems in monetary policy arise when:

- A Central banks face a conflict between their short-run incentives and their long-run credibility
- B Fiscal and monetary policy are not coordinated
- C Interest rate changes have lagged effects on inflation

D The money supply grows faster than real GDP

Your answer [] [1]

26 A sunk cost:

- A Can be recovered on exit from the market and therefore does not deter entry
- B Cannot be recovered on exit and therefore represents a barrier to entry in contestable market theory
- C Is equivalent to a fixed cost in the short run
- D Only exists in monopolistic markets

Your answer [] [1]

27 A negative output gap combined with demand-pull inflationary pressure is most consistent with:

- A An inward shift of LRAS combined with modest growth in AD
- B An outward shift of AD beyond LRAS
- C An outward shift of LRAS and SRAS
- D Simultaneous outward shifts of both LRAS and AD of equal magnitude

Your answer [] [1]

28 The Human Development Index (HDI) has been criticised because it:

- A Excludes differences in income between countries
- B Includes literacy rates and not years of schooling
- C Includes life expectancy at birth only for children under 5
- D Weights each of its three components equally, which may not reflect their relative importance to development

Your answer [] [1]

29 The resource curse refers to:

- A A correlation between a country's abundance of natural resources and its tendency to have slower economic growth and weaker institutions
- B The exhaustion of non-renewable resources in developing economies
- C The tendency of developed countries to consume excessive natural resources
- D The tragedy of the commons in common pool resources

Your answer [] [1]

30 The 'trilemma' (or 'impossible trinity') in international finance states that a country cannot simultaneously have:

- A Free trade, capital mobility and domestic production
- B High growth, low inflation and full employment
- C High savings, high investment and trade surpluses
- D Independent monetary policy, a fixed exchange rate, and free capital movement

Your answer [] [1]

Section B

Read the extracts before answering the questions.

Extract 1

The UK Banking Sector and 'Too Big to Fail'

The UK banking sector is highly concentrated. The 'big four' clearing banks — HSBC, Barclays, Lloyds Banking Group and NatWest — hold around 75% of personal current accounts and over 85% of business lending to small and medium-sized enterprises. During the 2008 global financial crisis, the UK government was forced to nationalise or provide emergency support to several major banks. The total cost of the bailout was £137 billion in cash support, although the National Audit Office has estimated the ultimate long-term cost to the taxpayer at between £27 and £33 billion.

The doctrine of 'too big to fail' — that the failure of a large bank would cause systemic damage to the wider economy — creates a moral hazard problem. Banks that believe they will be bailed out in a crisis have an incentive to take on excessive risk. The implicit public subsidy from the government guarantee was estimated by the Bank of England at £30 billion per year during the peak of the crisis, although it has fallen since.

Following the crisis, the Vickers Commission (2011) recommended the ring-fencing of retail banking from investment banking, which was implemented by 2019. The capital adequacy requirements set by the Basel III framework require banks to hold Common Equity Tier 1 (CET1) capital equal to at least 4.5% of risk-weighted assets, with additional buffers for systemically important institutions. UK banks now hold CET1 ratios averaging around 14%, compared with 3–4% before the crisis.

Despite these reforms, concerns remain. The collapse of Silicon Valley Bank in March 2023 and the forced sale of Credit Suisse to UBS the same month showed that banking crises can still propagate rapidly. In response to the collapse of SVB UK (bought by HSBC for £1), the Bank of England has proposed easing certain rules for smaller banks, which critics argue could recreate the conditions for future crises. The UK's Financial Services Compensation Scheme (FSCS) guarantees deposits up to £85,000 per person per institution.

Fig. 1.1

Market share of UK personal current accounts and profits before tax (£ billion), 2023

Bank	PCA market share (%)	Profit before tax 2023 (£ billion)
Lloyds Banking Group	23	7.5
NatWest Group	17	6.2
Barclays	13	6.6
HSBC (UK)	12	30.3
Santander UK	10	2.0
Challenger banks & others	25	n/a

31 Using the data in Fig. 1.1, calculate the five-firm concentration ratio for the UK personal current account market in 2023. **[2]**

32 Explain, using the information in Extract 1, how the doctrine of 'too big to fail' may generate moral hazard in the UK banking sector. **[3]**

33* Evaluate, using an appropriate diagram and the information in Extract 1, whether tighter regulation is the most effective way to address market failures in the UK banking sector. **[15]**

Extract 2

Quantitative Easing and Central Bank Independence

Since its introduction in March 2009, the Bank of England has conducted extensive quantitative easing (QE) programmes, expanding its stock of asset purchases from zero to a peak of £895 billion by the end of 2021 — approximately 40% of UK GDP. In late 2022, the Bank began quantitative tightening (QT), allowing maturing bonds to run off its balance sheet and actively selling others back into the market.

The transmission mechanisms of QE include lowering long-term interest rates, raising asset prices (stimulating a wealth effect on consumption), increasing bank liquidity, and signalling a commitment to future loose monetary policy. Research by the Bank of England suggests that the £450 billion of QE carried out between 2009 and 2012 raised UK GDP by approximately 2.5% and added 1.5 percentage points to CPI inflation.

However, QE has been criticised for its distributional consequences. By raising asset prices, it has disproportionately benefited wealthier households who own more financial assets and property. The Resolution Foundation estimated in 2022 that QE contributed around £1.2 trillion to UK household wealth, with the top 10% of households capturing approximately 40% of this gain. The Treasury indemnity for the Bank of England's Asset Purchase Facility is also estimated to cost up to £150 billion over the coming decade, as the Bank sells bonds at a loss.

The Bank of England has had operational independence from the Treasury since 1997. Supporters argue that independence has helped anchor inflation expectations and given monetary policy greater credibility. Critics, however, argue that QE has blurred the line between monetary and fiscal policy, and that the scale of central bank intervention raises questions about democratic accountability. In 2022, the House of Lords Economic Affairs Committee described QE as 'a pre-existing condition' of financial market fragility, making future rises in interest rates more politically and economically costly.

Fig. 2.1

Bank of England asset purchases (£ billion), bank rate (%) and CPI inflation (%), 2009–2023

Year	Asset purchases (£ billion)	Bank rate (%)	CPI inflation (%)
2009	200	0.50	2.2
2012	375	0.50	2.8
2016	435	0.25	0.7
2020	745	0.10	0.9
2021	895	0.25	5.4
2023	760	5.25	4.0

34 Using the data in Fig. 2.1, calculate the percentage change in the Bank of England's asset purchases between 2009 and 2021. **[3]**

35 Using Extract 2 and Fig. 2.1, identify evidence which suggests that quantitative easing (QE) was effective in stimulating the UK economy between 2009 and 2021. **[2]**

36* Evaluate, using the information in Extract 2, whether the benefits of quantitative easing (QE) have outweighed its costs for the UK economy. **[15]**

Extract 3

Global Inequality and the Challenge of Development

In 2023, the World Bank reported that global extreme poverty — living on less than \$2.15 per day at purchasing power parity — stood at 8.4%, up from 8.0% in 2019. This was the first rise in decades, driven by the pandemic and global food and energy price shocks. At the same time, the wealth of the world's billionaires increased by 34% in real terms between 2020 and 2023, according to Forbes.

Sub-Saharan Africa remains home to around 60% of the world's extreme poor. The region's GDP per capita was \$1,720 in 2023, compared with a world average of \$13,920. Child mortality in the region stood at 72 deaths per 1,000 live births in 2022, compared with a developed-country average of 4 per 1,000. However, Sub-Saharan Africa has made substantial gains in recent years: mean years of schooling have risen from 4.4 years in 2000 to 6.0 years in 2022.

The International Monetary Fund (IMF) warns that developing countries now face a 'debt-distress decade'. Around 60% of low-income countries are in or at high risk of debt distress. Debt servicing now consumes more government revenue than health and education combined in 25 developing countries. Rising US interest rates and a strong US dollar have compounded the problem, as much of this debt is denominated in dollars.

Remittances from migrant workers to low- and middle-income countries reached \$669 billion in 2023 — larger than total foreign direct investment (FDI) to these countries. However, some economists argue that the true cost of remittances is high: the global average transaction fee is 6.3% of the amount sent, well above the UN Sustainable Development Goal target of 3%. Others point to 'brain drain' — the emigration of skilled workers — as a major obstacle to development.

Fig. 3.1

Selected development indicators by region, 2023

Region	GDP per capita (USD PPP)	HDI	Extreme poverty rate (%)
Sub-Saharan Africa	4,210	0.547	35.0
South Asia	7,820	0.641	10.8
East Asia & Pacific	19,580	0.748	1.2
Latin America & Caribbean	17,920	0.754	4.3
Advanced economies	56,360	0.896	<0.5

37 Using Fig. 3.1, compare development in Sub-Saharan Africa with that of advanced economies in 2023. [2]

38 Evaluate, using the information in Extract 3, the most effective strategies for reducing extreme poverty in Sub-Saharan Africa. **[8]**
